Business decisions can not be taken without considering these present and future environmental factors. As the management of the firm has no control over these factors, it should fine-tune its policies to minimize their adverse effects.

3.5 THE THREE PROBLEMS OF ECONOMIC ORGANIZATION

The following points highlight the five basic problems of an economy. The problems are -

1. What to produce and in what quantities ?
2. How to produced these goods ?
3. For whom is the goods produced ?

Problem - 1 : What to produce and in what quantities ?

The first central problem of an economy is to decide what goods and services are to be produced and in what quantities. This involves allocation of scarce resources in relation to the composition of total output in the economy. Since resources are scarce, the society has to decide about the goods to be produced: wheat, cloth, roads, television, power, buildings, and so on.

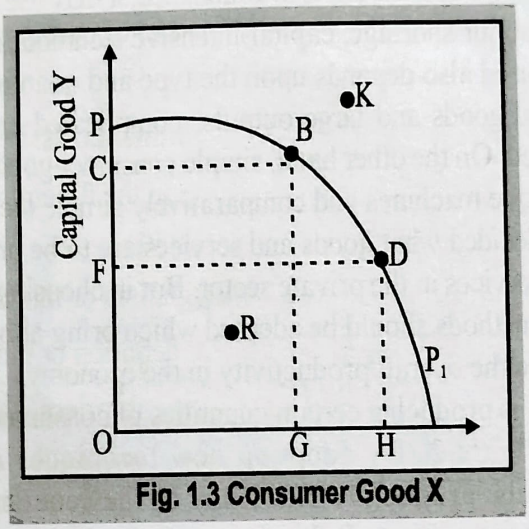


Fig. 1.3 Consumer Good X

Once the nature of goods to be produced is decided, then their quantities are to be decided. How many tonnes of wheat, how many televisions, how many million kws of power, how many buildings, etc. Since the resources of the economy are scarce, the problems of the nature of goods and their quantities has to be decided on the basis of priorities or preferences of the society.

If the society gives priority to the production of more consumer goods now, it will have less in the future. A higher priority on capital goods implies less consumer goods now and more in the future. But since resources are scarce, if some goods are produced in larger quantities, some other goods will have to be produced in smaller quantities.

This problem can also be explained with the help of the production possibility curve as shown in Figure - 1.3

Suppose the economy produces capital goods and consumer goods. In deciding the total output of the economy, the society has to choose that combination of capital goods and consumer goods which is in keeping with its resources.

It cannot choose the combination R which is inside the production possibility curve P because it reflects economic inefficiency of the system in the form of unemployment of resource Nor can it choose the combination R which is outside the current production possibilities of t society. The society lacks the resources to produce this combination of capital goods a consumer goods.

It will, therefore, have to choose among the combinations B, E, or D which give the highe level of satisfaction. If the society decides to have more capital goods, it will choose combination B and if it wants more consumer goods, it will choose combination D.

Problem - 2 : How to produced these goods ?

The next basic problem of an economy is to decide about the techniques or methods to b used in order to produce the required goods. This problem is primarily dependent upon th availability of resources within the economy.

If land is available in abundance, it may have extensive cultivation. If land is scarce, intensiv methods of cultivation may be used. If labour is in abundance, it may use labour-intensiv techniques; while in the ..... If labour is in abundance, it may use labout-intensive technique while in the case of labour shortage, capital-intensive techniques may be used.

The technique to be used also depends upon the type and quantity of goods to be produce For producing capital goods and large outputs, complicated and expensive machines an techniques are required. On the other hand, simple consumer goods and small outputs requir small and less expensive machines and comparatively simple techniques.

Further, it has to be decided what goods and services are to be produced in the public secto and what goods and services in the private sector. But in choosing between different method of production, those methods should be adopted which bring about an efficient allocation o resources and increase the overall productivity in the economy.

Suppose the economy is producing certain quantities of consumer and capital goods at poin A on PP curve in Figure-2. By adopting new techniques of production, given th supplies of factors, the productive efficiency of the economy increases. As a result the PP_0 curve shifts outwards to P_1P_1.

It leads to the production of more quantities of consumer and capital goods from point A o PP_0 curve to point C of PP with be the new production possibility curve and the economy wil move from point A to B where more of both the goods are produced.

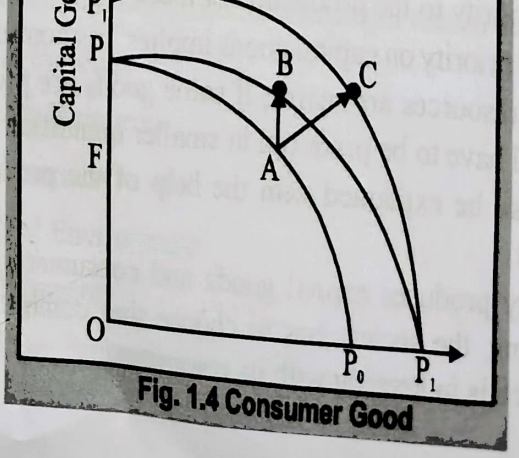


Fig. 1.4 Consumer Good

Problem - 3 : For whom is the goods produced ?

The third basic problem to be decided is the allocation of goods among the members of the society. The allocation of basic consumer goods or necessities and luxuries comforts and among the household takes place on the basis of among the distribution of national income.

Whosoever possesses the means to buy the goods may have then. A rich person may have a large share of the luxuries goods, and a poor person may have more quantities of the basic consumer goods he needs. This problem is illustrated in Figure-3 where the production possibility curve PP shows the combinations of luxuries and necessaries.

At point B on the PP curve, the economy is producing more of luxuries OC for the rich and less of necessaries OC for the at whereas at point D more of necessaries OH are being produced for the poor and less of luxuries OF for the rich.

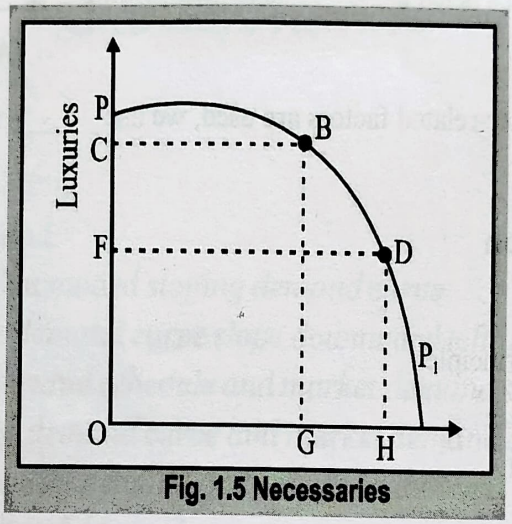


Fig. 1.5 Necessaries

QUESTIONS

1. Fill in the blanks

(a) The term economics comes from Greek word _____. (**Ans.** Oikonomia)

(b) The term micro economics comes from Greek word _____ which means ——. (**Ans.** Mikros, small)

(c) The term macro economics comes from Greek word _____ which means ——. (**Ans.** Makros, whole)

(d) Micro economics is also known as theory of _____. (**Ans.** Price)

(e) Macro economics is also known as theory of _____. (**Ans.** Income and employment)

(f) The use of economic principle in business is known as _____. (**Ans.** Business, Economics

(g) 'An Inquiry into the Nature and Causes of the Wealth of Nations', the book has written by _____ and in _____ year. (**Ans.** Adam Smith, 1776)

(h) Resources are limited, it has _____ uses. (**Ans.** alternative)

(i) Leonel Robbins explained economics as a science of _____. (**Ans.** choice and scarcity)

(j) Scarcity mean supply is _____ than demand. (**Ans.** less)

(k) Economising the use of scarce resources is also called _____ choice. (**Ans.** Rational)

(l) The welfare concept in economics refers to _____ economics. (**Ans.** normative)

(m) Marginalism studies the changes in _____. (**Ans.** Totality)

(n) The cost of next best alternative is called _____. (**Ans.** opportunity cost)

(o) The study of economics helps to _____ satisfaction with _____ expenditure. (**Ans.** maximum, minimum)

(p) When the different inter-related factors are used, we use _____ cost to study the changes. (**Ans.** incremental)

2. Write short notes on

(a) Marginalism
(b) Equi-marginal principle.
(c) Incremental cost.
(d) Opportunity cost.
(e) Scarcity
(f) Rational choice
(g) Business economics
(h) Subject matter of economics.
(i) Economic environment

3. Distinguish between

(a) Micro and Macro Economics
(b) Positive and Normative Economics
(c) Choice making and Scarcity of resources.

4. Long Type Questions

1. Discuss the nature and scope of Business Economics.
2. Discuss relationship between Business Economics and other discipline.
3. Managerial Economics is at Applied Economics. - Discuss.